

BUS13-1

Marketing Fundamentals

Strategy as the discipline of choosing what not to do

Marketing is demand-side capital allocation: where to play, how to win, how to allocate.

Albert School — 22 hours

Preface

This book treats marketing as a **decision discipline**, not a toolkit of tactics. Its claim is uncomfortable for newcomers who expect logos, slogans, and social posts: the hard part of marketing is not making things, it is **choosing what not to do** — which customers to ignore, which position to commit to, which trade-offs to accept. Everything downstream (the 4Ps, the campaign, the price) is the **consequence** of those choices, not a substitute for them.

The course rests on two pillars. The first is **strategy**: the discipline of Roger Martin and A.G. Lafley’s *Playing to Win* (2013), recast here as three irreversible decisions — Where to Play, How to Win, How to Allocate. The second is **evidence**: the empirical findings of the Ehrenberg-Bass Institute (Byron Sharp, Jenni Romaniuk) and the advertising-effectiveness work of Les Binet and Peter Field. Much of what “everyone knows” about marketing — that growth comes from loyalty, that differentiation is everything, that you should target a narrow persona — turns out, on the data, to be wrong or badly overstated. We will take the evidence seriously even when it contradicts intuition.

No mathematics is required beyond reading a chart and a simplified profit-and-loss statement. What **is** required is the willingness to defend a decision: every chapter ends by asking you to apply a framework to a real company and justify a trade-off. Green “From the real world” boxes carry the evidence and the brand cases; the blue and purple boxes carry the frameworks. Read actively.

Contents

Preface	2
1 Marketing as a decision discipline	3
2 Segmentation as strategic hypothesis	5
3 Targeting as capital allocation	7
4 Positioning as constraint	9
5 Brand as a strategic asset	11
6 The marketing mix as an allocation trade-off	13
7 Pricing as a strategic signal	15
8 Competitive landscapes: where not to fight	17
9 Auditing the mix against the positioning	19
10 B2B and B2C: adapting the doctrine	21

1 Marketing as a decision discipline

1.1 The trap of marketing as execution

Ask a first-year student what marketing is and you will hear: advertising, social media, branding, “getting the word out.” That answer describes marketing’s **outputs** and misses its job. A company with a brilliant Instagram feed and no answer to “who is this **for**, and why would they choose us over the obvious alternative?” is not doing marketing — it is decorating.

Definition 1 (Marketing as demand-side allocation) **Marketing** is the discipline of allocating scarce resources against demand: deciding which customers to serve, what to mean to them, and how to spend a finite budget to capture that demand profitably. It is the **demand side** of strategy, as finance is the capital side. Both are allocation problems; neither is decoration.

The framing matters because it sets what counts as a good decision. If marketing is execution, you judge it by output (did we ship the campaign?). If marketing is allocation, you judge it by **opportunity cost** — what we gave up by choosing this customer, this position, this spend, over the next-best alternative. Theodore Levitt made the foundational version of this point in his 1960 essay *Marketing Myopia*: railroads declined because they thought they were in the railroad business (a product) rather than the transportation business (a customer need), and so missed the rise of cars and planes. Define your business by the **demand you serve**, not the thing you currently make.

1.2 The three irreversible decisions

Definition 2 (Where to Play / How to Win / How to Allocate) Marketing strategy reduces to three linked choices:

- **Where to Play** — which customers, segments, geographies, and occasions you will serve, and, just as importantly, which you will **not**.
- **How to Win** — why the customers you chose will pick you over the specific alternative they would otherwise buy (your competitive advantage).
- **How to Allocate** — how you spend a finite budget and finite attention across the levers (the 4Ps, brand vs. activation) to deliver that win.

They are **irreversible** in the sense that reversing them is slow and expensive: a position you abandon, a segment you alienate, a brand asset you discard cannot be reclaimed cheaply.

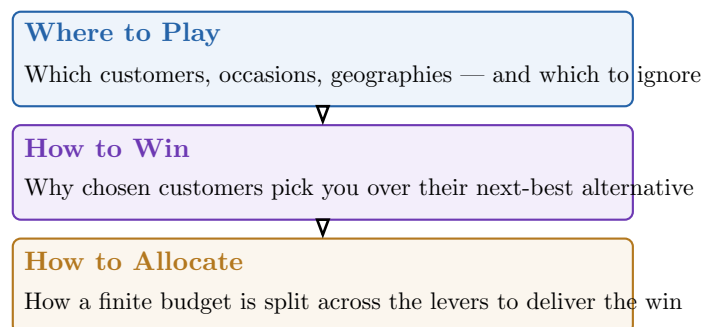


Figure 1: The three irreversible decisions. Each choice narrows the next: where you play bounds how you can win, which bounds how you should allocate. Strategy is the **cascade**, not any single box.

Common pitfall The most common failure is to skip straight to **How to Allocate** — to argue about the budget, the channels, the campaign — before **Where to Play** and **How to Win** are settled. A perfectly executed campaign aimed at the wrong segment with no reason-to-choose is money set on fire. Allocation decisions are only as good as the two choices above them.

1.3 Strategy is choosing what not to do

Definition 3 (Strategy as sacrifice) A **strategy** is a set of choices that deliberately forgoes some options to win at others. If a statement does not rule anything out — if no competitor would choose the opposite — it is not a strategy but a platitude. “We will delight customers with quality products” is a platitude; “we will serve only price-insensitive professionals and decline the mass market” is a strategy.

From the real world — Playing to Win: P&G's Olay In Roger Martin and A.G. Lafley’s account of Procter & Gamble, the skin-care brand Olay was rescued not by a better cream but by sharper **Where to Play / How to Win** choices. P&G chose to target women in their mid-30s to mid-50s worried about the first signs of ageing — and deliberately **declined** both the cheap mass segment and the prestige department-store segment. It then priced Olay Total Effects at \$18.99, a “masstige” point high enough to signal efficacy yet sold in drugstores and mass retail. The price was a **strategic choice**, not a costing exercise: low enough to reach the mass channel, high enough that prestige buyers did not dismiss it. Olay grew into a multi-billion-dollar brand because the team chose a lane and committed.

Chapter 1 in one line. Marketing is demand-side allocation; it reduces to three irreversible choices — Where to Play, How to Win, How to Allocate — and a real strategy is defined by what it deliberately refuses to do.

Exercises

1. Take a company you use weekly. State its (implicit) Where to Play and How to Win in one sentence each. Could a competitor credibly choose the opposite? If not, you have described a platitude — try again.
2. A founder says: “Our strategy is to grow fast and be customer-obsessed.” Explain why this is not a strategy, and rewrite it as one by adding a sacrifice.
3. Levitt argued railroads should have defined themselves as “transportation.” Pick a company being disrupted today and restate its business in demand terms rather than product terms.
4. Which of the three decisions (Where/How to Win/Allocate) is most often confused with “marketing” by outsiders, and why does that confusion lead to wasted budgets?

2 Segmentation as strategic hypothesis

2.1 Why segment at all

A market is not a uniform mass of identical buyers; demand is **heterogeneous**. Some people buy a watch to tell time, others to signal status, others to remember a grandparent. If those motives differ enough that they would change **what you build, say, or charge**, then treating them as one market wastes money on everyone. That is the only justification for segmentation — and the test most segmentation fails.

Definition 4 (Segmentation) **Segmentation** divides a market into groups that differ in ways that should change your resource allocation. A segment is useful only if it is **actionable**: it must change a decision. Groupings that describe customers (age, “personas”) without changing what you do are decoration, not strategy.

Common pitfall The classic mistake is **demographic theatre**: building richly illustrated “personas” — “Marketing Mary, 34, drinks oat-milk lattes” — that decorate a wall and change nothing. A segment that does not alter your product, message, channel, or price is not a segment. Ask of every split: **what decision does this change?**

2.2 Jobs to be done

The most useful basis for segmentation is rarely who the customer **is**; it is what they are **trying to get done**.

Definition 5 (Jobs to be done (JTBD)) Customers “hire” products to make progress in a particular situation — to do a **job**. The job, not the demographic, defines the real competitive set: anything that could be hired for the same job is a rival. Clayton Christensen’s slogan: people don’t want a quarter-inch drill, they want a quarter-inch hole.

From the real world — The milkshake that competed with bananas A fast-food chain wanting to sell more milkshakes studied buyers by demographics and improved the product on every attribute — with no effect on sales. Christensen’s team instead asked **what job** the milkshake was hired for. A large share were bought before 8 a.m. by lone commuters who needed something to make a long, boring drive bearable and stave off hunger until lunch. For that job the milkshake competed not with other milkshakes but with bananas, doughnuts, and bagels — and beat them because it was thick (lasts the whole commute), one-handed, and not messy. The winning improvement (make it thicker, add small fruit chunks for interest) was invisible to demographic analysis and obvious through the job. Segment by job, and the competitive set — and the product roadmap — change completely.

2.3 Stated versus revealed preference

Definition 6 (Stated vs revealed preference) **Stated** preference is what customers **say** in surveys and focus groups; **revealed** preference is what they **do** with their money and time. They routinely diverge — people say they want healthy options and buy fries — so

segmentation built on stated preference can mislead. Where possible, segment on **behaviour** (what, when, how often people actually buy), which is observable and harder to fake.

Chapter 2 in one line. Segment a market only by differences that change your allocation; the most actionable basis is the **job** the customer hires the product to do, grounded in **revealed** behaviour rather than survey claims.

Exercises

5. For a coffee shop, list three distinct **jobs** a customer might hire a coffee for (e.g., a warm-up, a focus tool, a social occasion). How would the ideal product and store differ for each?
6. Find a “persona” online and rewrite it as a **job-to-be-done** segment. What decision does the job version change that the persona version did not?
7. Give an example where stated and revealed preference diverge, and explain how a marketer relying on the survey would be misled.
8. Define the competitive set for a home-gym subscription via JTBD. Why might its biggest rival be the sofa, not another gym?

3 Targeting as capital allocation

3.1 Choosing whom to serve — and whom to refuse

Once a market is segmented, **targeting** decides where the money goes. This is a capital-allocation decision: every euro and every hour aimed at one segment is unavailable to another. The hardest, most strategic part is deciding whom to **refuse** — and being able to defend the refusal with the opportunity cost it buys.

Definition 7 (Targeting) Targeting is the allocation of finite marketing resources across segments. To target a segment is to **de-prioritise** the rest. A defensible targeting decision names both the segment chosen and the segments declined, and quantifies what declining them costs (the forgone revenue) and buys (focus, fit, efficiency).

3.2 Broad or narrow? The Ehrenberg-Bass challenge

Conventional wisdom says: target narrowly, find your niche, win loyal superfans. Decades of buyer data from the Ehrenberg-Bass Institute say this is mostly wrong for brands that want to **grow**.

Proposition 8 (How brands grow (Sharp, 2010)) Analysing buying data across categories and countries, Byron Sharp’s *How Brands Grow* finds that brands grow overwhelmingly by increasing **penetration** — acquiring many light and occasional buyers — not by deepening **loyalty** among existing heavy buyers. Most of any brand’s customers buy it rarely; the heavy-buyer “core” is smaller and less movable than marketers assume. Implication: reach broadly, be easy to buy, and do not over-narrow your target.

Proposition 9 (The Double Jeopardy law) Across a category, brands with smaller market share suffer **twice**: they have far fewer buyers **and** those buyers are slightly less loyal. Loyalty is largely a by-product of size, not a lever you can pull independently. You cannot small-brand your way to big-brand loyalty; you grow the buyer base first.

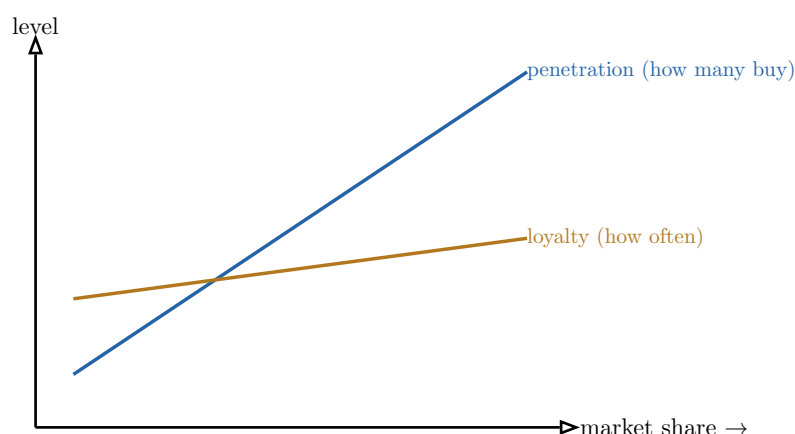


Figure 2: Double Jeopardy. As market share rises, the number of buyers (penetration) climbs steeply while loyalty (purchase frequency) rises only gently. Big brands win mainly by having **more buyers**, not much more loyal ones — so growth strategy targets penetration.

Definition 10 (Category entry points (CEPs)) Category entry points are the cues — situations, needs, occasions, times, feelings — that lead a buyer into a category and into thinking of a brand (“need a quick lunch”, “buying a gift”, “the kids are thirsty”). A brand grows by being mentally linked to **many** CEPs, so it comes to mind across many buying situations. Targeting broadly means covering more CEPs, not chasing one narrow persona.

3.3 Defending the segment you ignore

Targeting broadly does not mean serving everyone with everything. You still decline segments — but you decline them **deliberately**, with the opportunity cost named.

Worked example — Quantifying a refusal. A premium audio brand declines the budget segment. The refusal is defensible if stated with numbers: “The sub-€50 headphone segment is roughly 60% of unit volume but under 15% of category profit; serving it would require a cheaper sub-brand that risks our premium distinctiveness (Chapter 4) and our pricing signal (Chapter 7). We forgo an estimated €X of low-margin revenue to protect €Y of high-margin equity.” That is a strategic refusal. “We just focus on premium” — with no sizing — is not.

Common pitfall Do not confuse **target** with **market**. A brand can **aim** its message at a particular buyer while remaining **available** and appealing to many. Ehrenberg-Bass evidence warns against literally restricting your reach to a narrow target: light buyers you “weren’t targeting” are where most growth actually comes from.

Chapter 3 in one line. Targeting is capital allocation across segments; the evidence (Sharp’s penetration finding, the Double Jeopardy law) favours reaching broadly across category entry points, while still declining segments deliberately and quantifying the opportunity cost of each refusal.

Exercises

9. Explain the Double Jeopardy law in your own words. Why does it imply that a “loyalty programme” is a weak growth strategy for a small brand?
10. List five category entry points for breakfast cereal. For a challenger brand, which two would you attack first and why?
11. Pick a brand and write a one-paragraph defence of a segment it should **ignore**, quantifying (with rough public figures) the opportunity cost of the refusal.
12. A founder insists on targeting only “premium millennials in big cities.” Using the penetration finding, argue why this may cap the brand’s growth, and propose a broader alternative.

4 Positioning as constraint

4.1 What positioning is — and is not

Definition 11 (Positioning) **Positioning** is the meaning you deliberately claim in the customer’s mind, relative to a defined competitive set. It is the answer to “when a customer is in this situation, what should they think of us **for**, and why us rather than the obvious alternative?” Ries and Trout’s *Positioning* (1981) put it bluntly: positioning happens in the **mind**, not in the product — and the mind has room for only a few brands per category.

A good position is a **constraint**: it tells you not only what to say but what to refuse. Volvo owning “safety” for decades meant it could not also chase “sportiest” without diluting the very thing that made it chosen. The competitive frame matters: you position **against** a specific alternative.

Definition 12 (Competitive frame of reference) The **competitive frame** is the set of alternatives the customer weighs you against. Positioning is meaningless without it: “premium” against discounters means something different from “premium” against luxury houses. Choose the frame deliberately — it determines what counts as your point of difference.

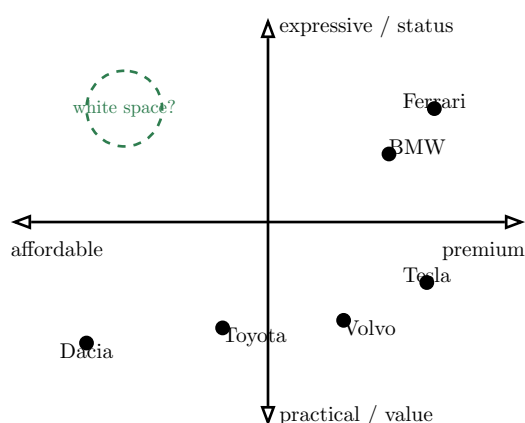


Figure 3: A perceptual map of the car market on two axes the customer cares about. Brands cluster where they have chosen to compete; the dashed circle marks **white space** — affordable yet expressive — a position few occupy. Maps like this expose where you are crowded and where you are alone.

4.2 Differentiation versus distinctiveness

A subtle but crucial distinction, sharpened by Jenni Romaniuk, separates two things students routinely conflate.

Definition 13 (Differentiation vs distinctiveness) **Differentiation** is being meaningfully **different** — offering a reason to prefer you (safer, faster, cheaper). **Distinctiveness** is being instantly **recognisable** — unmistakably you (the colour, logo, character, sound). The Ehrenberg-Bass evidence is that strong differentiation is rare and hard to sustain, while distinctiveness is buildable and does much of the real work of getting a brand noticed and chosen. Aim to be **distinctive** even where you cannot be durably **different**.

4.3 A positioning statement that constrains

Definition 14 (The four stress tests) A positioning statement is only useful if it **constrains future decisions**. Test any draft against four questions:

1. **Could a competitor copy it?** If yes, it is not yours.
2. **Does it constrain decisions?** If it rules nothing out, it is decoration.
3. **Would anyone argue the opposite?** If no sane rival would take the other side, it is a platitude (“we value quality”).
4. **Could it be any company?** If you can swap in a competitor’s name and it still reads true, it says nothing.

Worked example — Failing and passing the tests. “We deliver innovative, high-quality solutions that delight our customers” fails all four: any firm could claim it, no rival argues the opposite, it rules nothing out. Contrast Volvo’s historic “the safest car for families who refuse to gamble with their children” — a rival positioned on performance would **not** claim it, it constrains design and messaging toward safety, and it is hard to copy without abandoning one’s own position. The second is a strategy; the first is wallpaper.

Chapter 4 in one line. Positioning is the meaning you claim in the mind against a chosen competitive frame; make it a **constraint** (it must rule things out), build **distinctiveness** even where you cannot be durably different, and test every statement against the four stress tests.

Exercises

13. Draw a perceptual map for the coffee market (axes of your choice). Plot four real brands and identify one piece of white space.
14. Write a positioning statement for a new running-shoe brand and run it through all four stress tests. Revise until it passes.
15. Give an example of a brand that is highly **distinctive** but not strongly **differentiated**. How does it still get chosen?
16. Why does choosing a different competitive frame of reference (e.g., positioning a canned cocktail against beer rather than against other cocktails) change what counts as your point of difference?

5 Brand as a strategic asset

5.1 Mental availability, not just awareness

Definition 15 (Mental availability) **Mental availability** is the probability that a brand comes to mind in a buying situation — how easily, and across how many category entry points, a buyer thinks of you when the need arises. It is richer than **awareness** (mere recognition): a brand can be widely known yet rarely **come to mind** at the moment of choice. Sales flow to the brands that are mentally available **and** physically easy to buy.

Common pitfall “Everyone has heard of us” (awareness) is not “we come to mind when someone is thirsty on a hot afternoon” (mental availability). Recognition in a survey is cheap; being retrieved at the decisive moment, linked to the right cue, is what converts to sales. Measure the second, not just the first.

5.2 Distinctive brand assets

Definition 16 (Distinctive brand assets) **Distinctive brand assets** are the non-name cues — colour, logo, shape, character, tagline, sound — that trigger the brand without the name being shown. Romaniuk’s framework grades each asset on two axes: **fame** (what share of people link it to you) and **uniqueness** (do they link it to you **alone**, or to competitors too). The prize asset is high on both; assets high on fame but low on uniqueness are dangerous (you may be advertising the category for rivals).

From the real world — Assets you recognise without the name Think of the cues that need no logo: Coca-Cola’s specific red and Spencerian script and contour bottle; McDonald’s golden arches and the four-note “I’m lovin’ it” mnemonic; Nike’s swoosh and “Just Do It”; the interlocking red-and-yellow circles of Mastercard; the five-note Intel sound. Each was **built** over years of consistent use until it could carry the brand alone. The flip side is how **fragile** these are: when Cadbury tried to register its specific purple (Pantone 2685C) as a UK trademark for chocolate, a 2013 court ruling limited the protection — a reminder that a distinctive asset is a real, contestable, and valuable piece of property. Consistency is the whole game: a brand that restyles its logo and colours every two years never lets an asset accumulate.

5.3 Brand building versus sales activation

Definition 17 (Brand building vs sales activation) **Brand building** is broad, emotional, long-term work that grows mental availability and future demand; its effects build slowly and compound. **Sales activation** is targeted, rational, short-term work (promotions, performance ads) that converts existing demand now; its effects are large but decay fast. A marketing budget must be **allocated** between the two — they do different jobs on different timescales.

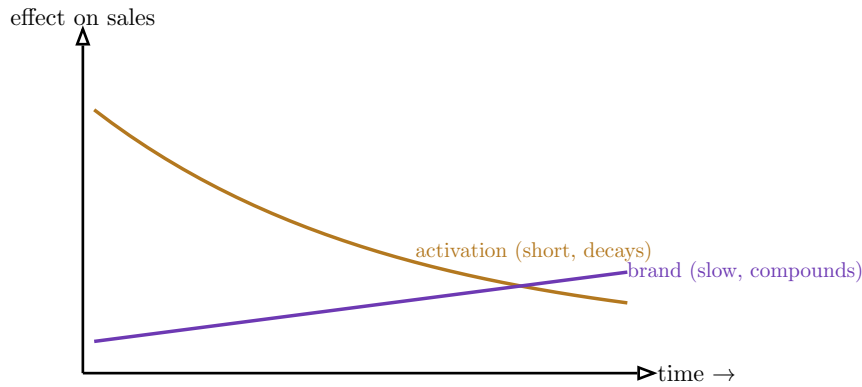


Figure 4: Sales activation gives a large but short-lived spike; brand building accumulates slowly and overtakes it over time. Binet and Field’s analysis of the IPA databank points to roughly a **60/40** split — about 60% of budget to brand, 40% to activation — as the long-run effectiveness optimum, varying by category.

Proposition 18 (The Binet & Field 60/40 benchmark) From the UK IPA databank of advertising cases, Les Binet and Peter Field (*The Long and the Short of It*, 2013) find that the most effective campaigns over the long run split spend roughly **60% brand-building / 40% activation**. The exact ratio shifts with category, channel, and growth stage (more activation for e-commerce and challengers; more brand for considered, long-cycle purchases), but the principle holds: starve brand building and you win quarters while losing the decade.

Chapter 5 in one line. A brand is a compounding asset made of **mental availability** and **distinctive assets** built by consistency; the budget must be split between long-term brand building and short-term activation, with Binet & Field’s 60/40 as the starting benchmark.

Exercises

17. Pick a brand and list its distinctive assets. Grade each, roughly, on **fame** and **uniqueness**. Which asset is the safest to put on a wordless billboard, and which risks advertising the category for rivals?
18. Explain the difference between awareness and mental availability with an example of a brand that has lots of the first and little of the second.
19. A start-up spends 95% of its budget on performance ads and 5% on brand. Using the activation-decay idea, predict what happens to its customer-acquisition cost over two years, and recommend an adjustment.
20. Why does frequently rebranding (new logo, new colours) destroy value through the lens of distinctive assets?

6 The marketing mix as an allocation trade-off

6.1 The 4Ps — and why they must cohere

Definition 19 (The marketing mix (4P / 7P)) The **marketing mix** is the set of levers a marketer controls: **Product**, **Price**, **Place** (distribution), and **Promotion** — extended for services to **People**, **Process**, and **Physical evidence** (7P). The mix is not a checklist to maximise lever by lever; it is an **allocation trade-off**. The levers must point at the same position, and pushing one hard constrains the others.

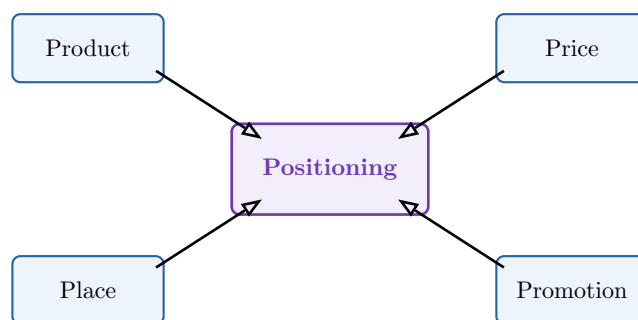


Figure 5: The 4Ps are not independent dials to maximise; each must serve the same positioning. A premium **position** dictates a premium **price**, selective **place**, and aspirational **promotion** — change one and the others must follow or the brand contradicts itself.

6.2 Optimising one lever constrains the others

Worked example — The coherence constraint. Suppose you raise **Product** quality to justify a premium **Price**. That choice now constrains **Place** (premium products sold in discount channels lose their signal) and **Promotion** (deep coupons would contradict the premium claim). You cannot independently maximise “best product”, “lowest price”, “everywhere available”, and “constant discounts” — those four point in different directions. A good mix is the **most coherent** set of choices for the position, not the **highest score** on each lever.

6.3 Allocation and the simplified P&L

Marketing decisions have to survive a profit-and-loss check. A simplified P&L lets you compare mix options on the only scoreboard that ultimately matters.

Definition 20 (Simplified marketing P&L) For a decision, estimate:

Gross profit = (Price – Unit cost) × Volume, Net = Gross profit – Marketing spend.

A mix change is worth it only if the extra gross profit it generates exceeds its extra spend. This forces every “Promotion” or “Price” idea to state its expected volume effect, not just its creative appeal.

Worked example — Discount or not, on the numbers. A product sells 10,000 units at €20 with €12 unit cost — gross profit $(20 - 12) \times 10\{, \}000 = €80\{, \}000$. Marketing proposes a 15% price cut (to €17) expecting volume to rise 40% (to 14,000). New gross profit: $(17 - 12) \times 14\{, \}000 = €70\{, \}000$ — **lower**, despite selling more, because the margin per unit fell from €8 to €5. The discount destroys €10,000 of profit unless volume rises far more than 40%. Run the P&L before you run the promotion.

Chapter 6 in one line. The 4P/7P mix is an allocation trade-off, not a checklist: every lever must serve one position, pushing one constrains the others, and each proposed change must pay its way on a simplified P&L.

Exercises

- 21.** For a premium brand, describe a coherent 4P configuration. Then change **one** P to its opposite and explain the contradictions it creates with the other three.
- 22.** A product sells 5,000 units at €40 with €25 unit cost. A promotion cuts price 10% and is expected to lift volume 25%. Compute gross profit before and after. Should they run it?
- 23.** Give a real example of a brand whose mix contradicts its positioning (e.g., premium claim, discount-bin reality). Identify the specific clashing levers.
- 24.** Why can a service business not treat **People** and **Process** as afterthoughts to the original 4Ps? Give an example where they **are** the product.

7 Pricing as a strategic signal

7.1 Three ways to set a price

Price is the only P that directly brings in revenue — and the one most often set mechanically, by adding a margin to cost. That throws away its most powerful role: **price is a signal** about what the product means.

Definition 21 (Cost-plus, value-based, and competitive pricing) Three logics for setting price:

- **Cost-plus:** take unit cost and add a target margin. Simple, but ignores what the customer will pay and what the price signals.
- **Value-based:** set price from the customer's perceived value (their willingness to pay for the job done), often far above cost. Captures the most value but requires understanding the customer deeply.
- **Competitive:** set price by reference to rivals (match, undercut, or premium-to). Common in commoditised categories where the frame is the competitor's price.

The right logic follows from the **position**: a value-based premium for a differentiated brand, competitive pricing in a commodity, cost-plus rarely optimal.

7.2 Price as positioning

Common pitfall Price is read as a **quality signal**. Cutting price to win volume can **lower perceived value** and undermine a premium position — the discount that fills the warehouse can empty the brand. A price is never just a number; it tells the customer which competitive frame you belong to. Setting it below your position is as damaging as a logo change.

From the real world — Pricing that signals, not just charges Several brands treat price as message. Apple prices on **value**, well above component cost, because the price is part of the premium meaning — a cheap iPhone would contradict the brand. Razor-and-blades models (Gillette, and Nespresso with its machines and capsules) price the durable low and the consumable high, locking in a profitable stream. Luxury goods are **Veblen** goods: for them a higher price can **raise** demand because exclusivity is the value. And challenger brands use price to redraw the frame — a canned water like Liquid Death priced and styled like a craft beer signals “this competes with your beer, not with tap water.” In each case the number is chosen for what it **says**, not merely what it **covers**.

Worked example — The decoy effect. Pricing is also psychological. A famous magazine offer listed three options: web-only at \$59, print-only at \$125, and print-plus-web also at \$125. Almost nobody picks print-only — so why list it? Because it is a **decoy** that makes the \$125 bundle look obviously superior (same price, more product), shifting choice toward the expensive option. Remove the decoy and most people pick the cheap web-only. The set of prices you show frames the one customers choose.

Chapter 7 in one line. Choose a pricing logic (cost-plus, value-based, or competitive) from your **position**, treat price as a quality **signal** that defines your competitive frame, and remember the number can be set to **say** something, not merely to cover cost.

Exercises

25. For three products — a SaaS tool, a bottle of artisanal olive oil, and bagged cement — say which pricing logic fits and why.
26. Explain how a 20% price cut intended to boost volume could **reduce** both profit (Chapter 6) and brand equity (Chapter 5). Use both arguments.
27. Design a three-tier “good/better/best” price menu for a streaming service and explain how the middle or top tier is steered by the others (decoy logic).
28. Find a real product whose price clearly signals its position. What would happen to its meaning if the price were halved?

8 Competitive landscapes: where not to fight

8.1 Mapping the battlefield

Strategy is relational: your position is defined against rivals, so you must read the landscape before choosing where to commit. The most valuable output of competitive analysis is often **where not to fight** — the markets and positions where a stronger incumbent would crush you and where empty space lets you grow unopposed.

Definition 22 (Strategic avoidance and indirect competition) Strategic avoidance is deliberately not competing where you cannot win — declining head-on battles with entrenched leaders in favour of underserved space. **Indirect competition** is the rival that does the customer’s **job** by another means (video calls compete with airlines; home espresso machines with cafés). A landscape map must include indirect rivals, or it will miss the real threat.

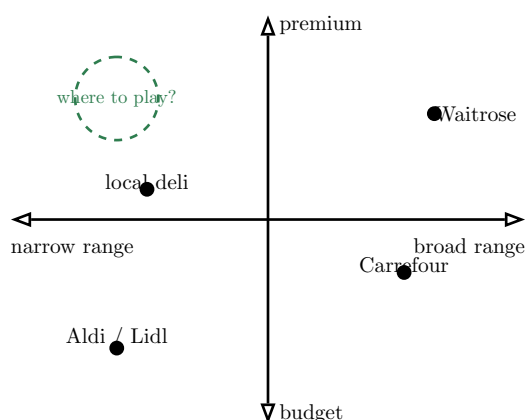


Figure 6: A competitive map of grocery retail. The leaders crowd the broad-range axis; a challenger reads the map not to attack them head-on but to find defensible space (here, a narrow and premium niche) — the “where to play” that avoids the “where not to fight.”

8.2 Reading the landscape from public data

Definition 23 (Evidence-based competitive mapping) A credible “where not to fight” recommendation is built from **public evidence**, not opinion: financial filings (size, margins, where a rival makes money), web traffic and app rankings (momentum), observed pricing (position), and messaging (claimed position). Triangulating these reveals each rival’s real strategy and exposes the space no one is defending.

From the real world — Winning by avoidance Many durable brands grew by refusing the obvious fight. Aldi and Lidl did not attack incumbent supermarkets on range; they chose a **narrow**, hard-discount model — fewer products, mostly own-label, ruthless cost control — that the broad-range incumbents could not copy without wrecking their own economics. Dollar Shave Club (launched 2012, acquired by Unilever in 2016 for a reported \$1bn) did not out-engineer Gillette’s blades; it sidestepped to a subscription model and a comic brand voice, competing on convenience and attitude rather than razor technology. In both cases the win came from picking a lane the leader’s strengths could not follow into.

Chapter 8 in one line. Read the competitive landscape — including indirect rivals — from public evidence, and use it to decide **where not to fight**: avoid the leaders' strongholds and commit to defensible space they cannot copy without damaging themselves.

Exercises

- 29.** Pick a category and map four real competitors on two axes from public signals (price, range, traffic, messaging). Mark one piece of contested space and one piece of white space.
- 30.** Identify the biggest **indirect** competitor for a cinema chain and explain the job-level rivalry.
- 31.** Write a one-paragraph “where not to fight” recommendation for a new entrant to the food-delivery market, citing the kind of public data you would use.
- 32.** Why is “we’ll beat the market leader at their own game” usually a losing strategy for a challenger? Frame the answer using strategic avoidance.

9 Auditing the mix against the positioning

9.1 Looking for contradictions

The frameworks of this book combine into a practical skill: **auditing** a real company for places where its actions betray its stated strategy. A marketing audit asks one question across every lever — **does this serve the position, or fight it?**

Definition 24 (Marketing-mix audit) A **marketing-mix audit** checks each element of a company's marketing — product, price, place, promotion, brand assets, spend split — against its stated positioning, and flags concrete **contradictions**. The output is not a description but a list of specific clashes, each with a recommended fix.

Worked example — Three contradictions to hunt for. Typical clashes a good audit surfaces:

- **Premium position undermined by discount pricing:** a luxury claim with permanent promotions — the price (Chapter 7) contradicts the brand (Chapter 5).
- **Job-to-be-done misaligned with the targeted segment:** a product built for one job marketed to people who hire it for another (Chapter 2), so the message never lands.
- **Short-term activation cannibalising long-term equity:** a spend split tilted heavily to performance ads (say 90/10) that buys this quarter's sales by eroding mental availability — a Binet & Field red flag (Chapter 5).

9.2 Rebalancing brand and activation

From the real world — Benchmarking a real spend split Auditing the brand-vs-activation balance is concrete. Take a company's reported marketing spend, estimate how much goes to long-term brand building versus short-term activation (promotions, performance media), and compare to the Binet & Field 60/40 benchmark — adjusting for category (an e-commerce challenger may rightly sit nearer 50/50 or activation-heavy early; a considered, long-cycle purchase like a car or a B2B platform should lean **more** to brand). A company found at 85/15 toward activation, with rising acquisition costs and flat unrecalled awareness, has a diagnosable problem and a direction for the fix: shift spend to brand and rebuild mental availability before activation efficiency collapses further.

Chapter 9 in one line. Auditing means checking every lever against the stated position and naming concrete contradictions — discount pricing under a premium claim, message-segment misfit, activation cannibalising brand — then rebalancing, using the 60/40 benchmark adjusted for category.

Exercises

- 33.** Audit a real brand you know well: list its stated (or implied) positioning, then find two concrete contradictions in its actual mix, each with a fix.
- 34.** A premium cosmetics brand runs a permanent “buy one get one free.” Explain the contradiction across at least two chapters of this book and recommend a fix.
- 35.** Estimate (roughly, from public signals) the brand/activation split of a fast-growing app. Compare to 60/40 and justify any category adjustment.

36. Why is an audit's value in its **specific contradictions** rather than in a general "could do better" verdict?

10 B2B and B2C: adapting the doctrine

10.1 Same doctrine, different conditions

The frameworks so far apply whether you sell to consumers (B2C) or to businesses (B2B) — but the **conditions** differ enough to change how you allocate. It is a mistake to think B2B is a different discipline; it is the same discipline under different constraints.

Definition 25 (B2B vs B2C conditions) Relative to B2C, B2B markets typically have: **fewer, larger buyers**; **longer sales cycles**; **buying groups** (several people with different jobs must agree, not one shopper); more **rational, documented** justification; and deeper, more personal **relationships**. These shift the mix — toward sales teams, solution selling, and trust-building — without abandoning positioning, distinctiveness, or the brand/activation balance.

Common pitfall A persistent B2B myth is that “business buyers are purely rational, so brand doesn’t matter — just features and price.” The evidence disagrees: buying groups are human, risk-averse, and time-poor, and they default to brands they already trust and recall. Mental availability matters in B2B too; “nobody got fired for buying IBM” is brand equity doing exactly its job.

From the real world — The 95-5 rule in B2B Research associated with the Ehrenberg-Bass Institute and the LinkedIn B2B Institute popularised a striking estimate: at any given time only about **5%** of business buyers in a category are actually in-market and ready to buy; the other **95%** are not buying now but will eventually. Pure lead-generation activation chases only the 5%. The implication mirrors Binet & Field: a large share of B2B marketing should be broad **brand building** aimed at the 95% — so that when they finally enter the market, perhaps years later, you are the brand already mentally available. B2B has simply been slower than B2C to accept the evidence.

Chapter 10 in one line. B2B and B2C share one doctrine; B2B differs in conditions — fewer buyers, buying groups, longer cycles — but still needs brand and mental availability, because most buyers (the 95%) are out-of-market today and choose, when their time comes, the brand they already recall.

Exercises

- 37.** For a B2B software company, name the members of a typical buying group and the different **job** each is trying to do. How should the message differ for each?
- 38.** Apply the 95-5 rule: if only 5% of buyers are in-market, what share of a B2B budget would you put to brand vs activation, and why?
- 39.** Give a B2C and a B2B example of the **same** distinctive asset strategy. What transfers, and what must change?
- 40.** Rebut the claim “B2B buyers are rational, so branding is a waste” using two findings from this book.